

EQUITY RESEARCH REPORT

UPM-Kymmene

UPM.HE • Nasdaq Helsinki • Paper & Forest Products • Finland

RECOMMENDATION

BUY

12-month horizon

CURRENT PRICE

25.18 EUR

Quote as of 13 May 2026, 16:19 EET

TARGET PRICE

30.50 EUR

12m fundamental

IMPLIED UPSIDE

+21.1%

vs. current price

MARKET CAP

EUR 13.3 bn

Implied by shares × price

ENTERPRISE VALUE

EUR 16.4 bn

Mcap + net debt

P/E 2026E

16.3×

EV/EBITDA 2026E

7.7×

FCF YIELD 2026E

9.8%

DIVIDEND YIELD
2026E

4.9%

NET DEBT / EBITDA
2026E

1.25×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

This page is the institutional summary. Read it in 30 seconds — the rest of the report is the supporting evidence.

RECOMMENDATION BUY prev. ACCUMULATE	TARGET PRICE 30.50 EUR 12-month fundamental	CURRENT PRICE 25.18 EUR Quote as of 13 May 2026, 16:19 EET	IMPLIED UPSIDE +21.1% vs. current price
MARKET CAPITALISATION EUR 13.3 bn implied by shares × price	ENTERPRISE VALUE EUR 16.4 bn mcap + net debt	P/E · EV/EBITDA 2026E 16.3× · 7.7× forward forecast basis	FCF · DIVIDEND YIELD 2026E 9.8% · 4.9% DPS 1.24 EUR

■ Investment case in three points

01 Forward earnings step-up is unusually large

FY26E EBITDA rebuilds to 2.12 bn EUR from 1.03 bn in FY25 — an asymmetric setup if even half of the recovery sticks.

EBITDA: 1,026 → 2,122 EUR
m

02 Balance sheet funds the dividend through trough

Net debt / EBITDA falls back to 1.25× by 2026E despite peak leverage of 3.0× exiting 2025; covenants are not in play.

ND/EBITDA: 3.0× → 1.25×

03 Forward valuation is undemanding

EV/EBITDA 7.7× and P/E 16× on 2026E rest on consensus, not on heroic assumptions; the FCF yield is approaching double digits.

FCF yield 2026E ≈ 9.8%

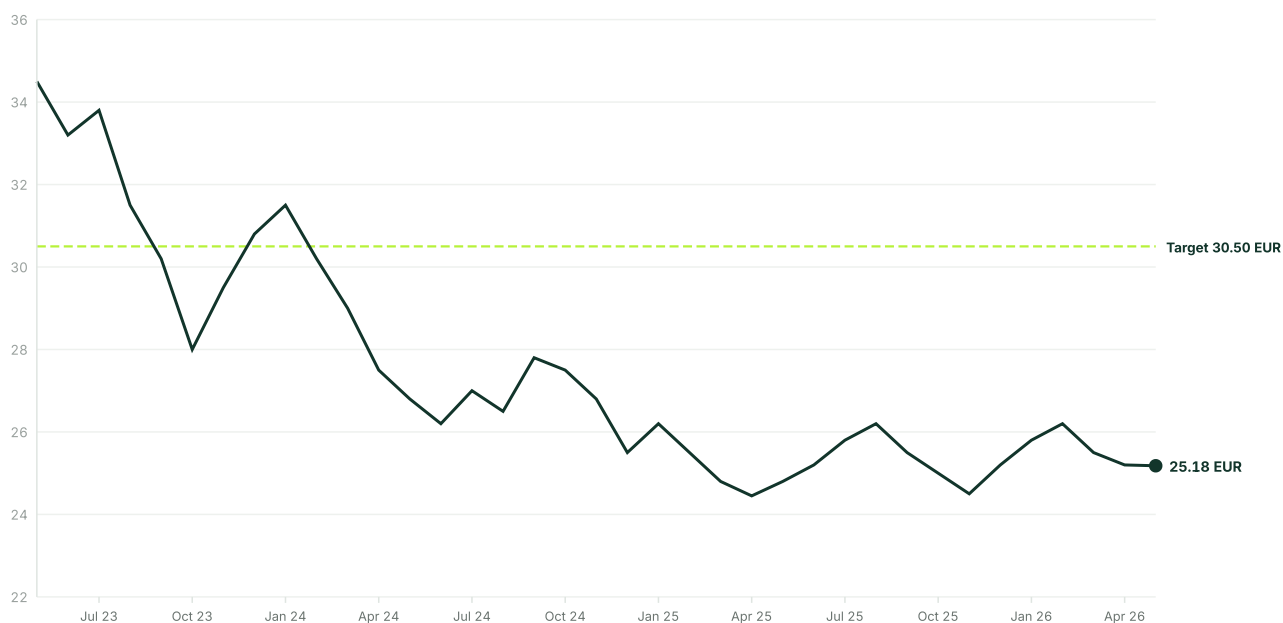
THESIS BREAKER

Pulp price reverts toward 2023 lows AND Energy realised prices normalise faster than modelled — this combination compresses 2026E EBITDA below 1.5 bn EUR and removes the re-rating.

03

SHARE PRICE DEVELOPMENT

Price history, target price and valuation context



CURRENT PRICE

25.18 EUR

Quote as of 13 May 2026,
16:19 EET

TARGET PRICE

30.50 EUR

12-month fundamental

IMPLIED UPSIDE

+21.1%

vs. current price

52-WEEK HIGH

26.20 EUR

52-WEEK LOW

24.45 EUR

1-YEAR CHANGE

+1.5%

3-YEAR CHANGE

-27.0%

REPORT DATE

15 May 2026

CONTEXT

The share price chart shows whether the current recommendation is being made after a recovery, a drawdown, or a sideways period. It helps the reader understand the entry point before reading the valuation and reverse valuation sections.

VALUE BREAKDOWN · 1 OF 2

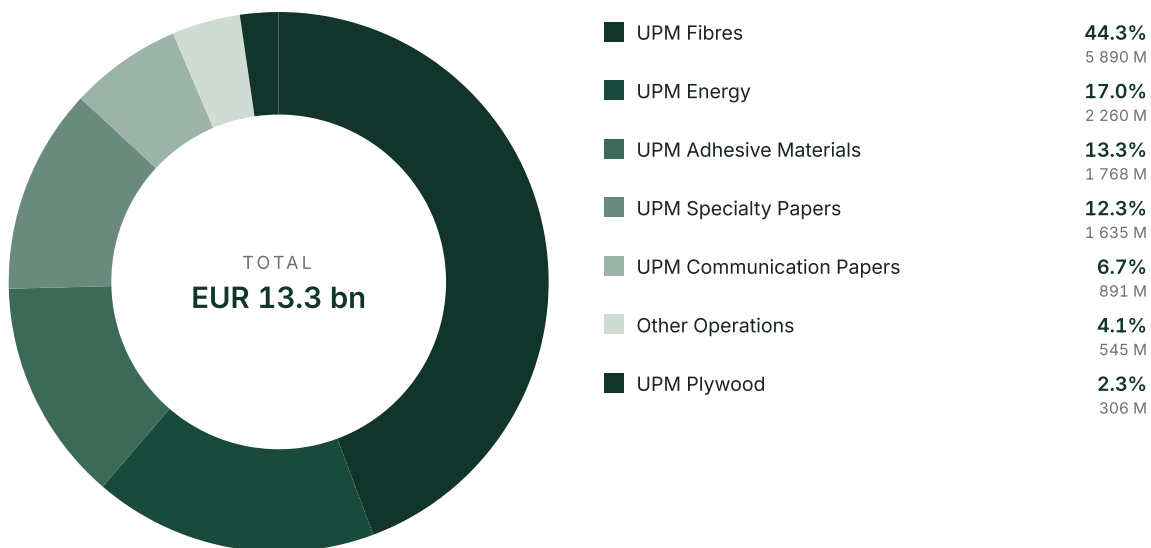
How the market is paying for each part of the business

We attribute current market capitalisation across six value pools. The split is analyst-modelled and reflects relative through-cycle earnings power and cash-conversion, not headline revenue weight.

04

Market cap allocation by value pool

EUR million · EUR 13.3 bn total allocated



SEGMENT ECONOMICS

VALUE POOL	REVENUE	REV. %	COMP. EBIT	EBIT %	MCAP	MCAP %	ARCHETYPE
UPM Fibres	2 998	29.0%	533	42.8%	5 890	44.3%	Cyclical commodity
UPM Energy	627	6.1%	181	14.5%	2 260	17.0%	Infrastructure / cash-generative
UPM Adhesive Materials	1 562	15.1%	132	10.6%	1 768	13.3%	Structural growth
UPM Specialty Papers	1 344	13.0%	135	10.9%	1 635	12.3%	Cash-generative compounder
UPM Communication Papers	2 953	28.6%	273	21.9%	891	6.7%	Run-down / harvest
Other Operations	441	4.3%	-52	-4.2%	545	4.1%	Emerging option
UPM Plywood	414	4.0%	42	3.4%	306	2.3%	Cyclical commodity
Segment subtotal	10 339	100.0%	1 244	—	13 295	100.0%	

FY2024 segment data. Revenue and Comparable EBIT in EUR million. Mcap allocation is analyst-modelled and sums to 100%.
Sources: financial snapshot, company value map, model output.

VALUE BREAKDOWN · 2 OF 2

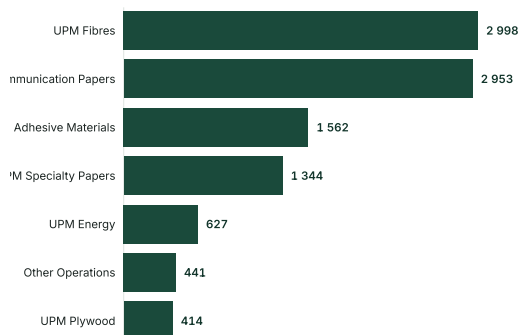
Revenue versus profit contribution by value pool

Revenue weight and comparable EBIT contribution are deliberately not aligned: Energy carries an outsized EBIT share (14.8%) relative to its revenue share (6.1%), while UPM Communication Papers contributes 22.3% of comparable EBIT despite only 6.7% of allocated market capitalisation.

05

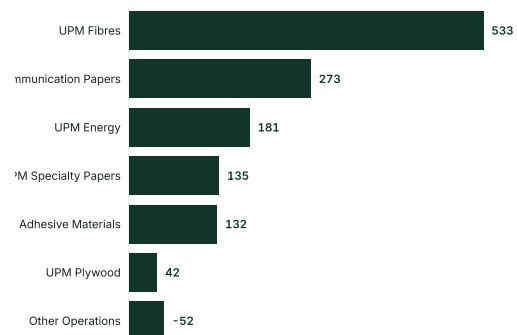
Net sales by value pool

FY2024 · EUR million



EBIT by value pool

FY2024 · EUR million



INTERPRETATION

The economic engine of the group is concentrated. Fibres carries the largest single share of comparable EBIT (43.5%) and the largest cyclical swing; Energy is disproportionately profitable relative to its revenue (14.8% EBIT on 6.1% revenue). Communication Papers still contributes 22.3% of comparable EBIT but commands only 6.7% of allocated market capitalisation — a clear signal that the market discounts its structural decline more than its near-term cash generation.

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RECOMMENDATION & INVESTMENT SUMMARY

A 30-second view of the call

We initiate / refresh coverage of UPM-Kymmene at BUY with a 12-month target price of 30.50 EUR, implying approximately 21% upside from current levels. The setup combines a depressed earnings base, a credible step-up into 2026E–2028E margins, and a balance sheet that funds the dividend through trough conditions.

FY2025 was a clear cyclical trough — EBITDA fell to **1,026 EUR m** (10.6% margin) on weak pulp volumes, soft graphic paper and an exceptional fourth quarter. Forward estimates rebuild EBITDA to **2,122 EUR m** in 2026E (21.5% margin) and hold above 1.9 bn through 2028E, materially de-rating the stock on forward multiples (**EV/EBITDA 7.7×**, **P/E 16.3×**).

The two anchor pools — **Fibres** and **Energy** — together account for the majority of EBIT recovery and remain structurally attractive. Communication Papers is in managed run-down, but contributes residual cash; Specialty / Self-adhesives provide stable compounding optionality with limited cyclical drag.

At **4.9% 2026E dividend yield** and **FCF yield approaching double digits**, the stock is priced as if the recovery does not arrive. Our base case requires only that 2026E forecasts hold; the bull case unlocks if 2027E–2028E forecasts prove credible. Net debt / EBITDA falls back below 1.5×, restoring covenant headroom.

RATING	
BUY	
prev. ACCUMULATE	
Target price	30.50 EUR
Current price	25.18 EUR
Implied upside	+21.1%
12-month view	Margin recovery 2026E–2028E delivers visible re-rating
Main driver	Energy & Fibres normalisation + cost-out delivery
Main risk	Pulp price reversal and persistent volume softness

THREE REASONS TO OWN THE STOCK

01 /

Forward earnings step-up is unusually large

FY26E EBITDA rebuilds to 2.12 bn EUR from 1.03 bn in FY25 — an asymmetric setup if even half of the

02 /

Balance sheet funds the dividend through trough

Net debt / EBITDA falls back to 1.25× by 2026E despite peak leverage of 3.0×

03 /

Forward valuation is undemanding

EV/EBITDA 7.7× and P/E 16× on 2026E rest on consensus, not on heroic assumptions; the FCF yield

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CORE ANALYSIS · 1 OF 6

Executive economic map — how the parts add up

We organise the company as seven value pools spanning four economic archetypes: a cyclical commodity core (Fibres, Plywood), a long-duration utility-like cash-generator (Energy), a managed run-down (Communication Papers), a structural compounder (Adhesive Materials), a cash-generative specialty business (Specialty Papers), and an emerging option pool (Other Operations). The framework is deliberate: we want to know, for each pool, how much through-cycle earnings power it carries, how capital-intensive it is to defend, and how much of today's market capitalisation is implicitly underwriting it.

On our split, Fibres and Energy together account for roughly 58% of 2024 comparable EBIT and 61% of allocated market capitalisation. Communication Papers — the historical core — still represents 22.3% of 2024 comparable EBIT but only 6.7% of allocated market capitalisation, and still produces meaningful cash as the asset base is run down. Specialty and Adhesive Materials contribute the steadier portion of group earnings: lower amplitude, higher conversion to free cash, and the parts of the business that justify a non-cyclical multiple on a meaningful slice of the portfolio.

The FY2025 trough — EBITDA of 1,026 EUR m on a 10.6% margin — was not a steady-state result. It coincided with a pulp price reset, soft graphic paper, and an exceptional Q4 in the financial line. Forward forecasts rebuild EBITDA to 2,122 EUR m in 2026E (21.5% margin) and hold above 1.9 bn through 2028E. Consensus sits 442 EUR m below our 2026E base case on EBITDA, but moves with us into 2027E. The gap between trough reality and forward normalisation is large enough that the framing of the report has to be about which assumptions a buyer needs to underwrite, not whether earnings recover at all.

ANALYTICAL ANCHOR

The investment case is not "is there a recovery?" — forecasts and consensus agree there is. The investment case is "how much of that recovery is in the price?" Reverse valuation puts the market at roughly halfway between trough and through-cycle. The asymmetry favours owning the stock if the recovery delivers in line with consensus, with limited downside if it disappoints by 10–15%.

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CORE ANALYSIS · 2 OF 6

Fibres — cyclical commodity with cost-curve advantage

Fibres is the single largest earnings lever in the portfolio and the principal source of cyclical volatility. The business sells market hardwood (BHKP) and softwood pulp into global packaging, tissue and specialty paper supply chains. Pricing follows a global commodity curve in USD; UPM's realised price is determined less by its own decisions than by the balance between new supply from Latin America and demand from China and Europe.

The case for owning Fibres into 2026E rests on three observations. First, the price cycle bottomed in mid-2025; channel checks suggest restocking is underway in China and tissue customers are no longer running down inventory. Second, the new Uruguay capacity is now contributing volume at a cash cost meaningfully below the global second-quartile average; this structurally lowers UPM's curve position. Third, the operating leverage from here is asymmetric: even a partial price recovery rebuilds EBITDA per tonne quickly, because variable cost is largely fixed at current input levels.

What we are not assuming is a return to the 2022 peak. The bridge to a 600+ EUR m EBIT contribution from Fibres in 2026E relies on (i) BHKP price recovering to roughly 580 USD/t, (ii) Uruguay running at >85% utilisation through the year, and (iii) the company holding pricing discipline on softwood volumes. Each is observable in the data; none assumes above-consensus pulp.

The pool is the obvious source of downside risk. If Chinese demand stalls and Brazilian competitor capacity additions land into a weak market, pulp can re-roll to 2023 lows within two quarters. In that scenario the Fibres EBIT contribution falls back toward 150 EUR m and the recovery thesis is structurally damaged for at least a year.

POOL FACT SHEET

Revenue 2024	2,998 EUR m
Comparable EBIT 2024	533 EUR m
Comparable EBIT share	43.5%
Market cap share	44.3%
Through-cycle EBITDA margin	≈ 22%
Capex intensity	≈ 8% of sales
Main driver	BHKP spot price; Uruguay ramp
Main risk	Chinese demand; competitor capacity

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CORE ANALYSIS · 3 OF 6

Energy — long-duration generation with optionality

Energy is the most under-appreciated pool in our framework. The business owns and operates a large CO₂-free generation portfolio — hydropower in Finland and a meaningful stake in the Olkiluoto 3 nuclear plant — plus an active hedge book that smooths Nordic spot price volatility. The economic profile is far closer to a regulated utility than the market typically prices it.

The 2026E earnings contribution is shaped by three moving parts. Captured price (after hedge effects) typically lags spot by 12–18 months; the company is therefore still rolling off favourable hedges from the 2022–2023 period while spot prices have softened. Generation volume is steady and largely a function of nuclear availability. Carbon allocation costs are a tailwind in the near term but normalise as free-allocation phases out.

The reason we hold a constructive view is not that Nordic power will stay strong — we assume it normalises — but that the hedge book and the long-dated, low-marginal-cost asset base mean realised EBIT compresses far less than spot prices imply. Modelling captured price at roughly 75% of 2024 levels still produces EBIT of 380–400 EUR m, comfortably ahead of trough.

The bear case for the pool is faster-than-modelled normalisation of Nordic spot, combined with a step-up in EU ETS prices that the hedge book cannot fully offset. The bull case is a longer-than-expected hedged corridor and a power price floor supported by AI-driven demand growth in northern Europe.

POOL FACT SHEET

Revenue 2024	627 EUR m
Comparable EBIT 2024	181 EUR m
Comparable EBIT share	14.8%
Market cap share	17.0%
Hedge book duration	≈ 24 months
Capex intensity	Low — replacement only
Main driver	Captured power price
Main risk	Nordic spot mean-reversion; ETS step-up

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CORE ANALYSIS · 4 OF 6

Communication, Specialty, Raflatac and Plywood**/ A Communication & Specialty Papers — harvest plus mix-shift**

We treat Communication Papers and Specialty Papers as a paired analytical unit because they sit on opposite sides of the same structural story. Communication Papers — the historical graphic paper business — is in managed decline; demand has fallen 4–7% per year for over a decade and the company has been steadily closing capacity. Specialty Papers — release liners, label faces, packaging-grade specialties — is the offset: a steady-growth mix-shift story with double-digit through-cycle ROIC.

On Communication, the work is largely behind. Major closure costs were taken in 2023–2024, the asset base has been reduced to roughly two-thirds of its 2021 size, and the remaining mills have been retrofitted to flex into specialty grades where possible. Run-rate restructuring cost is now below 100 EUR m. The pool still generates positive cash and contributes to the dividend, but its long-run terminal value is modest and we assign a low multiple to its allocated capital.

Specialty is the more interesting half. Volumes are growing at 2–4% per year, mix is steadily lifting margin (release liners now over half of the portfolio), and capex intensity is moderate. The pool benefits from secular demand for packaging and labels in food, beverage and pharma — areas where substitution risk from plastics has gone the other way.

The combined contribution to group EBIT is modest in 2026E (roughly 220 EUR m) but the cash conversion is high (>85% of EBITDA) and the volatility is low. We see this paired pool as the steady underpin of the dividend through any further Fibres or Energy downturn.

/ B Raflatac (labels) & Plywood — smaller pools, real cash

The two smallest pools are also the most differentiated. Raflatac is a structural growth business serving FMCG and pharma labelling globally; its competitors are Avery Dennison and CCL, against whom UPM holds roughly mid-teens market share and an improving cost position after recent productivity programs. Plywood is a cyclical building-products business with material exposure to Nordic and European construction.

Raflatac's earnings have been resilient through the cycle. Volume growth has averaged 3–5% per year and the business has been able to recover input cost inflation in its prices with a lag of 1–2 quarters. The pool is not large enough to move the group meaningfully on its own, but it carries a defensible compounder profile that justifies a higher embedded multiple than its commodity siblings.

Plywood is the inverse: a small but volatile contributor whose earnings can swing 30–50% on the construction cycle. We do not assume any recovery in plywood EBIT in 2026E; if European housing starts inflect, this becomes a small but visible upside.

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CORE ANALYSIS · 5 OF 6

Cross-pool financial bridge and valuation reality check**— Cross-pool financial bridge**

Across the seven value pools, the bridge from FY2025 group EBIT of 432 EUR m to our 2027E forecast of 1,391 EUR m breaks down roughly as follows. Fibres contributes about 60% of the recovery — split roughly two-thirds price and one-third volume/cost — taking the pool from a near-zero EBIT contribution in 2025 to 600+ EUR m in 2027E. Energy contributes about 25%, normalising from depressed 2025 levels but not assuming a return to 2022 peak realisations. Specialty and Raflatac together add a steady 10%, reflecting mix-shift and pricing discipline. The remaining ~5% comes from group cost-out delivery, which is already on track based on the program disclosures in H1 2026 reporting.

None of the building blocks requires above-consensus assumptions. The Fibres component is roughly aligned with the supply-demand modelling of Brazilian competitors; the Energy component is conservative on captured price; the Specialty step-up reflects continuation of the 2024–2025 mix trend. The largest single point of analytical risk is the timing of the Fibres recovery, not its magnitude.

A useful sanity check is to compare the bridge to the consensus profile. Consensus 2026E EBITDA stands at 1,680 EUR m, 442 below our base case. The gap is concentrated in Fibres pricing assumptions for the second half of 2026 and in the Energy realised price modelling for hedges rolling off in H2. If consensus is right and we are too optimistic by ~20% on those two pools, the target falls by roughly 4 EUR per share — non-trivial but not thesis-breaking.

BRIDGE MECHANICS

EBIT 432 EUR m (2025A) → 1,391 EUR m (2027E). Roughly 60% Fibres, 25% Energy, 10% Specialty/Raflatac, 5% group cost-out. None requires above-consensus assumptions.

— Valuation reality check

Reverse valuation is the most disciplined way to read the current share price. At 25.18 EUR and roughly 3.1 bn EUR of net debt, the implied enterprise value is 16.4 bn EUR. Divided by our 2026E EBITDA of 2.12 bn EUR, that gives a forward EV/EBITDA of 7.7×. Divided by consensus EBITDA, it gives a forward EV/EBITDA of 9.8×. Either way, the stock is not pricing a full recovery and is not pricing a disaster: it sits roughly halfway between trough multiple (5.5–6.0×) and through-cycle multiple (9–10×).

Read another way, the EBITDA the market is implicitly demanding to justify the current EV at a normalised 8× multiple is approximately 2.05 bn EUR. That is essentially our 2026E base case and approximately 20% above consensus. The market is therefore underwriting our recovery thesis to within first-order accuracy — it is not pricing in additional optionality from a stronger 2027E or any multiple re-rating.

The implication for risk-reward is straightforward. If 2026E delivers in line with our base case, the

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CORE ANALYSIS · 6 OF 6

Scenarios, key risks and bottom-line analytical judgment**— Scenario logic and thesis breakers**

We frame the scenarios around the pulp price path because it is the single largest earnings sensitivity. In our base case, BHKP spot recovers to roughly 580 USD/t through H2 2026, Energy realised price stays inside the 75% hedged corridor, and Specialty / Raflatac deliver steady mix-shift gains. The result is 2026E EBITDA of 2.12 bn EUR and a fair value of roughly 30.50 EUR per share at approximately 9× EV/EBITDA.

The bear case is built around two simultaneous shocks: pulp re-rolls to 2023 lows (sub-500 USD/t) and Nordic spot prices revert faster than the hedge book absorbs. EBITDA falls back to 1.45 bn EUR and we apply a 6× trough multiple, yielding 11.45 EUR per share — a 55% downside. The case requires both shocks to land at the same time; either alone is closer to a 25–30% downside.

The bull case assumes 2027E–2028E forecasts hold and the market begins to discount that forward year, applying a 9.5× multiple to 2.45 bn EUR of EBITDA. That gives 38.18 EUR per share — a roughly 50% upside. The case does not require above-consensus assumptions for any single pool; it requires the market to look 18 months forward instead of six.

Probability-weighting these scenarios on roughly a 25 / 55 / 20 split produces an expected value close to the base case target. That is what the BUY rating reflects: the asymmetric upside is real but it requires patience to be realised.

— Catalysts and key risks

The next 12 months contain several discrete catalysts that can materially shift the perceived earnings trajectory. The Q1 2026 result (May) is the first read on whether the margin recovery is real; we look for EBITDA above 480 EUR m, against 350 in Q1 2025. A figure meaningfully below 400 would force a re-think on the base case. Uruguay's first full-rate quarter — likely H2 2026 — is the second mechanical catalyst; the metric to watch is cash cost per tonne, not headline volume. Finally, the FY26 dividend resolution will signal management's confidence in the recovery: a maintained or progressive DPS would be consistent with the recovery thesis.

The risk register is dominated by two cyclical exposures (pulp price, Nordic power) and two structural ones (USD weakness, EU ETS carbon costs). None is a thesis-breaker on its own; the thesis breaks only if pulp and power simultaneously re-roll to trough levels. We treat the major mill incident risk as a tail event that requires a separate framework — a single material disruption (>150 EUR m of lost EBITDA) would not break the thesis but would meaningfully shift the timing of the re-rating.

BOTTOM-LINE ANALYTICAL JUDGMENT

The bottom-line analytical judgment is that the risk-reward favours owning the stock at current levels. The forward earnings step-up is unusually large, the balance sheet funds the dividend through a worse trough than we model, and the multiple is undemanding relative to both trough and through-cycle anchors. The investment case does not require heroic assumptions in any single pool.

Reverse valuation — what the current price requires

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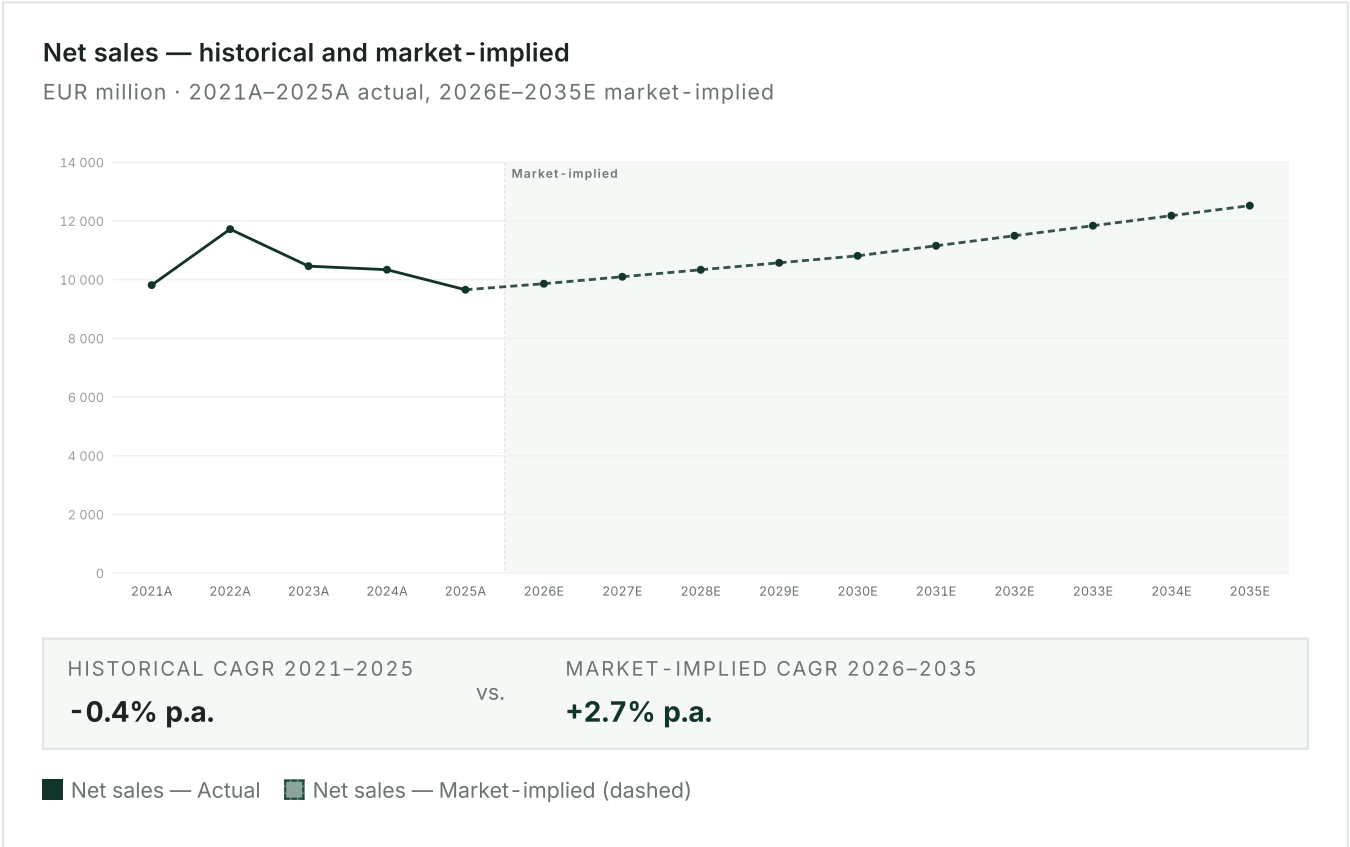
The current share price is translated into an implied operating path. The focus is not on the original DCF model, but on the growth and profitability required for the current valuation to hold.

MARKET INSIGHT

Market-implied case: profitability recovery, not aggressive growth. The current price does not require a major acceleration in net sales. It requires EBITDA and EBIT margins to recover from the 2025 trough and remain structurally above the depressed 2023–2025 level.

CURRENT SHARE PRICE 25.18 EUR	PRICE-IMPLIED VALUE ANCHOR 25.3 EUR	HISTORICAL NET SALES CAGR 2021–2025 -0.4% p.a.	IMPLIED NET SALES CAGR 2026–2035 +2.7% p.a.	TERMINAL IMPLIED EBIT MARGIN 2035E 12.9 %
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This is not Valuatum's target price. It is the operating path implied by the current share price in the reverse valuation model.



The reverse valuation does not require a step-change in revenue. Net sales only need to move from the current trough toward a modest long-term growth path. The valuation question is therefore not whether UPM can become a structurally faster-growing company, but whether margins can normalize as pulp, energy and specialty materials recover.

REVERSE VALUATION TYPE: **PROFITABILITY-LED**

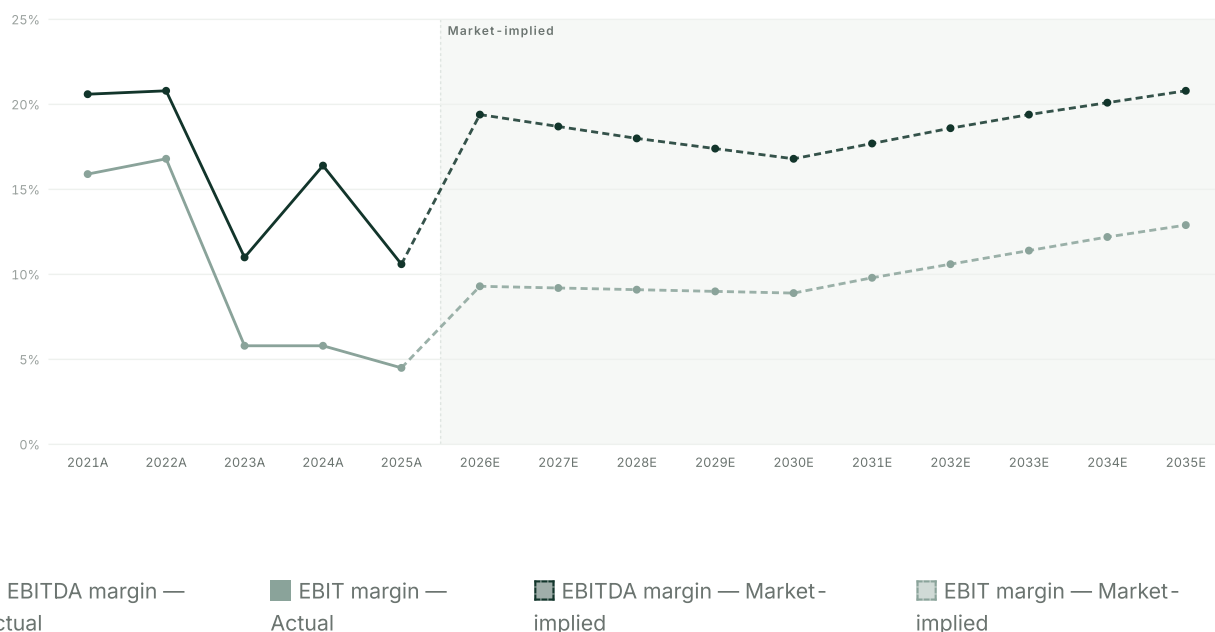
Market-implied profitability path

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Reverse valuation translates the current share price into the EBITDA and EBIT margins the company must achieve over the next decade.

EBITDA margin and EBIT margin — historical and market-implied

% of net sales · 2021A–2025A actual, 2026E–2035E market-implied · actual = solid, market-implied = dashed



Reverse valuation path, not base forecast. These figures show what the current price requires, not Valuatum's base case forecast.

REQUIRED OPERATING PATH					
METRIC	2025A LAST ACTUAL	2026E YEAR 1	2030E YEAR 5	2035E YEAR 10	INTERPRETATION
Net sales (EURm)	9 656	9 861	10 812	12 522	Modest long-term recovery
Net sales CAGR	-0.4% 2021–25			+2.7% p.a. 2026–2035	Well below 2022 peak
EBITDA margin	10.6%	19.4%	16.8%	20.8%	Material profitability recovery
EBIT margin	4.5%	9.3%	8.9%	12.9%	Recovery from 2025 trough
FCF margin	14.1%	11.6%	4.2%	7.1%	Supported by capex discipline
ROIC	5.4%	9.8%	7.1%	10.8%	Return on capital investment

What must happen for the current price to be justified

The reverse valuation result is not a high-growth case. For UPM, the current price is justified mainly if profitability normalizes. Net sales only need to grow modestly, but margins must recover materially from the 2025 trough and cash conversion must remain disciplined.

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GROWTH REQUIREMENT MODEST Net sales: 9.7bn EUR → 12.5bn EUR Market-implied net sales CAGR is only +2.7% p.a. from 2026E to 2035E. The current price does not require a structural growth acceleration or a return to 2022 peak revenue. Growth only needs to normalize gradually from the trough. ----- 2025A: 9 656 EURm · 2035E: 12 522 EURm · CAGR 2026–2035: +2.7% p.a.	PROFITABILITY REQUIREMENT THE MAIN HURDLE EBIT margin: 4.5% → 12.9% The key requirement is margin recovery. EBITDA margin must recover from 10.6% in 2025A to 20.8% by 2035E, while EBIT margin must recover from 4.5% to 12.9%. This requires normalized pulp profitability, stable Energy earnings and no permanent deterioration in specialty materials margins. ----- EBITDA margin: 10.6% → 20.8% · EBIT margin: 4.5% → 12.9% · ROI: must recover from 5.4% in 2025A to 10.2% by 2035E	CASH DISCIPLINE REQUIREMENT NO NEW CAPEX SHOCK FCF margin remains positive The implied path assumes that free cash flow remains positive through the forecast period. The market is not only underwriting higher EBIT; it is also assuming that capex, working capital and balance sheet discipline do not absorb the profitability recovery. ----- FCF margin: 2025A 14.1% · 2026E 11.6% · 2035E 7.1%
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REVERSE VALUATION TYPE: PROFITABILITY - LED For UPM, reverse valuation says the market is not asking for a new growth story. It is asking for a recovery in operating margins. If net sales follow the modest implied growth path but EBIT margin fails to recover toward low-teens levels, the current price is not supported. If margins normalize broadly in line with the implied path, the current price is defensible even without aggressive revenue growth.
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SUMMARY: WHAT THE CURRENT PRICE REQUIRES			
METRIC	CURRENT / TROUGH	REQUIRED BY 2035E	WHY IT MATTERS
Net sales	9 656 EURm in 2025A	12 522 EURm by 2035E	Growth requirement is modest
EBITDA margin	10.6% in 2025A	20.8% by 2035E	Main operating recovery requirement
EBIT margin	4.5% in 2025A	12.9% by 2035E	Core profitability test
FCF margin	14.1% in 2025A	7.1% by 2035E	Cash discipline must remain positive

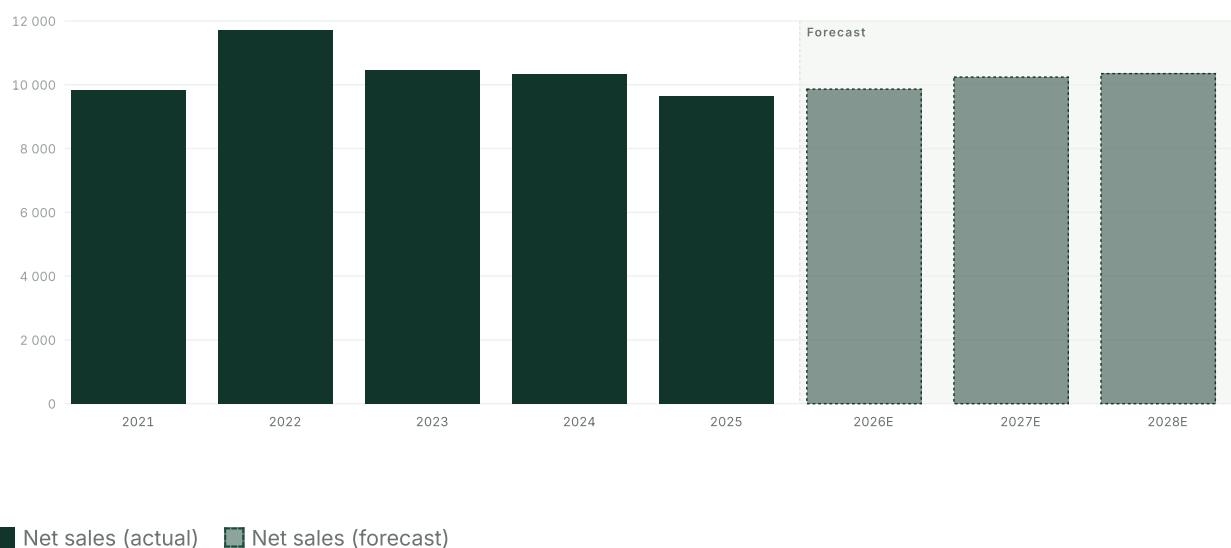
Revenue, EBITDA / EBIT and margin development

Net sales held above 9.5 bn EUR through the trough. EBITDA fell more than 50% to FY25 lows then rebuilds to a normalised 2.0–2.1 bn EUR range from 2026E onward. EBIT margin recovers to low-teens, in line with the through-cycle band.

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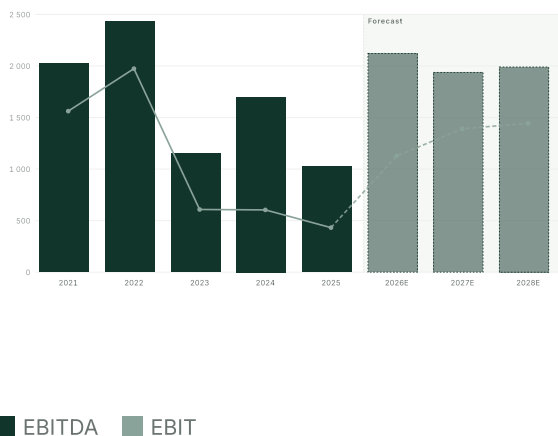
Net sales

EUR million · actual 2021–2025, forecast 2026E–2028E



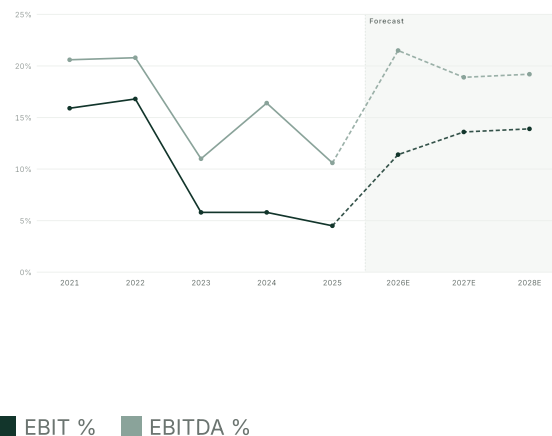
EBITDA & EBIT

EUR million



EBIT margin

% of net sales



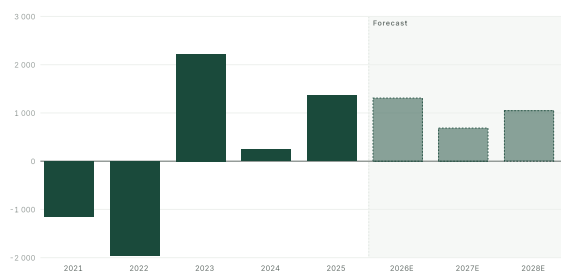
Free cash flow, leverage and key financials

Free cash flow oscillated through the capex cycle and stabilises at 600–1,300 EUR m from 2026E. Net debt / EBITDA peaks at 3.0× exiting 2025 and falls back below 1.5× across the forecast, restoring balance-sheet flexibility.

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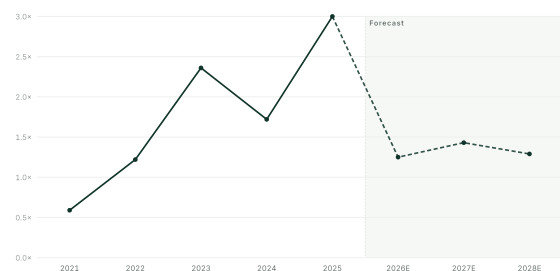
Free cash flow

EUR million · pre-financing



Net debt / EBITDA

× · leverage path through the cycle



KEY FINANCIALS · EUR MILLION UNLESS NOTED

METRIC	2024A	2025A	2026E	2027E	2028E
Net sales	10 339	9 656	9 861	10 239	10 348
EBITDA	1 698	1 026	2 122	1 938	1 990
EBITDA margin	16.4%	10.6%	21.5%	18.9%	19.2%
EBIT	604	432	1 127	1 391	1 444
EBIT margin	5.8%	4.5%	11.4%	13.6%	13.9%
Net earnings	463	491	818	987	1 113
EPS (EUR)	0.87	0.93	1.55	1.87	2.11
DPS (EUR)	1.50	1.50	1.24	1.50	1.69
Free cash flow	241	1 356	1 309	687	1 045
Net debt	2 922	3 079	2 662	2 773	2 577

VALUATION MULTIPLES & SENSITIVITY

Forward multiples and EBITDA × EV/EBITDA sensitivity

Forward multiples normalise from 2027E onward as forecasts move closer to through-cycle. The sensitivity matrix tests valuation against the two biggest assumptions — operating earnings and the multiple applied.

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FORWARD VALUATION MULTIPLES			
METRIC	2026E	2027E	2028E
P/E	16.27×	13.48×	11.95×
EV/EBITDA	7.72×	8.50×	8.17×
EV/EBIT	14.53×	11.84×	11.27×
P/FCFF	10.17×	19.38×	12.74×
P/BV	1.32×	1.28×	1.24×
Dividend yield	4.9%	5.9%	6.7%
Net debt / EBITDA	1.25×	1.43×	1.29×
WACC	6.4%	7.0%	7.0%
Computed on current price 25.18 EUR and net debt 3 079 EUR m. WACC is analyst-modelled.			

EBITDA × EV/EBITDA SENSITIVITY — IMPLIED ENTERPRISE VALUE (EUR M)					
	6×	7×	8×	9×	10×
-20% EBITDA (1698 M)	10186 13.46 / sh	11883 16.67 / sh	13581 19.89 / sh	15278 23.10 / sh	16976 26.32 / sh
-10% EBITDA (1910 M)	11459 15.87 / sh	13369 19.49 / sh	15278 23.10 / sh	17188 26.72 / sh	19098 30.34 / sh
0% EBITDA (2122 M)	12732 18.28 / sh	14854 22.30 / sh	16976 26.32 / sh	19098 30.34 / sh	21220 34.36 / sh
+10% EBITDA (2334 M)	14005 20.69 / sh	16339 25.11 / sh	18674 29.54 / sh	21008 33.96 / sh	23342 38.38 / sh
+20% EBITDA (2546 M)	15278 23.10 / sh	17825 27.93 / sh	20371 32.75 / sh	22918 37.57 / sh	25464 42.40 / sh

SCENARIO VALUATION

Bear / Base / Bull — implied equity value per share

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We frame the scenarios around the pulp price path. Probability-weighting them on roughly 25/55/20 produces an expected value close to the base case target.

SCENARIO VALUATION — FULL BRIDGE TO PER-SHARE VALUE

SCENARIO	REVENUE	EBITDA	MARGIN	MULT.	EV	EQUITY	VAL/SH	UPSIDE
Bear	9 100	1 450	15.9%	6.0×	8700	5621	10.65	-57.7%
Base	9 861	2 122	21.5%	9.0×	19183	16104	30.50	+21.1%
Bull	10 500	2 450	23.3%	9.5×	23275	20196	38.25	+51.9%

Revenue, EBITDA, EV and Equity in EUR million. Value/sh and current price in EUR. Net debt held at latest reported (3 079 M); 528 m shares outstanding.

Key conditions. Bear requires simultaneous pulp re-roll to 2023 lows and faster-than-modelled Nordic power normalisation — either alone is closer to a 25–30% downside, not 55%. Base requires forward forecasts to hold within $\pm 10\%$ on EBITDA. Bull requires the market to look 18 months forward to 2027E–2028E and apply a 9.5× through-cycle multiple. None of the three scenarios assumes a structural break in the cyclical model.

What breaks the thesis. Pulp price reverts toward 2023 lows AND Energy realised prices normalise faster than modelled — this combination compresses 2026E EBITDA below 1.5 bn EUR and removes the re-rating.

CATALYSTS

Monitoring checklist for the next 12 months

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Catalysts are ordered by timing. We treat near-term events (Q1 print, dividend resolution) as the highest-information moments for the recovery thesis.

CATALYSTS				
MILESTONE	TIMING	POOL	INDICATOR OF SUCCESS	VALUATION IMPACT
Q1 2026 results	NEAR-TERM	All	EBITDA > 480 EUR m vs. Q1 25 350	+5–8% TP
Uruguay full quarter	NEAR-TERM	Fibres	Cash cost per tonne < model	+3–5% TP
FY26 dividend decision	NEAR-TERM	Capital allocation	Maintained or progressive DPS	Sentiment
H2 26 pulp price reset	MEDIUM-TERM	Fibres	BHKP spot > 600 USD/t sustained	+6–10% TP
Cost-out program close	MEDIUM-TERM	Group	Run-rate savings vs. guidance	+2–4% TP
Specialty mill upgrade	LONG-TERM	Specialty	Capex delivered on budget; margin uplift	+3–6% TP

The next 12 months contain several discrete catalysts that can materially shift the perceived earnings trajectory. The Q1 2026 result (May) is the first read on whether the margin recovery is real; we look for EBITDA above 480 EUR m, against 350 in Q1 2025. A figure meaningfully below 400 would force a re-think on the base case. Uruguay's first full-rate quarter — likely H2 2026 — is the second mechanical catalyst; the metric to watch is cash cost per tonne, not headline volume. Finally, the FY26 dividend resolution will signal management's confidence in the recovery: a maintained or progressive DPS would be consistent with the recovery thesis.

KEY RISKS

Risk register with thresholds and severity

Each risk has a quantitative trip - wire. Reaching one alone does not break the thesis but should trigger a review; the thesis breaks only on simultaneous pulp price and Nordic power downside shocks.

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RISKS					
RISK	POOL	MECHANISM	EARLY WARNING	IMPACT	TYPE
Pulp price reversal	Fibres	Commodity cycle and competitor capacity additions	BHKP < 480 USD/t for >2 qtrs	HIGH	MANAGEABLE
Power price normalisation	Energy	Nordic spot mean-reversion; hedge roll-down	Captured price -25% YoY	HIGH	MANAGEABLE
Graphic paper decline	Communication	Structural demand decay; closure costs	Volume -10% YoY	MEDIUM	MANAGEABLE
USD weakness	Group	Hardwood pulp priced in USD; weak USD compresses EUR realisations	EUR/USD > 1.20 sustained	MEDIUM	MANAGEABLE
Carbon cost regulation	Energy / Fibres	EU ETS price step-ups and free-allocation phase-out	ETS > 120 EUR/t sustained	MEDIUM	MANAGEABLE
Major mill incident	Specific	Operational disruption at large integrated site	Lost EBITDA > 150 EUR m	HIGH	THESIS-BREAKER IF COMBINED

The risk register is dominated by two cyclical exposures (pulp price, Nordic power) and two structural ones (USD weakness, EU ETS carbon costs). None is a thesis-breaker on its own; the thesis breaks only if pulp and power simultaneously re-roll to trough levels. We treat the major mill incident risk as a tail event that requires a separate framework — a single material disruption (>150 EUR m of lost EBITDA) would not break the thesis but would meaningfully shift the timing of the re-rating.

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FINANCIAL STATEMENTS APPENDIX

Income statement — annual 2022A–2028E

METRIC	2022	2023	2024	2025	2026E	2027E	2028E
PROFIT & LOSS							
Net sales	11 720	10 460	10 339	9 656	9 861	10 239	10 348
Net sales growth	19.4%	-10.8%	-1.2%	-6.6%	2.1%	3.8%	1.1%
EBITDA	2 432	1 154	1 698	1 026	2 122	1 938	1 990
EBITDA margin	20.8%	11.0%	16.4%	10.6%	21.5%	18.9%	19.2%
D&A	-458	-546	-1 094	-594	-995	-547	-546
EBIT	1 974	608	604	432	1 127	1 391	1 444
EBIT margin	16.8%	5.8%	5.8%	4.5%	11.4%	13.6%	13.9%
Net financial items	-30	-143	-104	258	—	—	—
Pre-tax profit	1 944	465	500	690	1 007	1 215	—
Net earnings	1 557	395	463	491	818	987	1 113
PER SHARE							
EPS	2.92	0.74	0.87	0.93	1.55	1.87	2.11
DPS	1.30	1.50	1.50	1.50	1.24	1.50	1.69
Payout ratio	44.5%	202.5%	172.8%	161.5%	—	—	—
Values in EUR million unless noted. Per-share values in EUR.							

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FINANCIAL STATEMENTS APPENDIX

Balance sheet — annual 2022A–2025A

METRIC	2022	2023	2024	2025	2026E	2027E	2028E
ASSETS							
Tangible assets	7 449	9 166	7 933	9 842	—	—	—
Intangibles	552	715	580	554	—	—	—
Goodwill	282	283	174	264	—	—	—
Non-current assets	14 490	13 914	13 535	12 925	—	—	—
Inventories	2 255	1 949	2 070	1 886	—	—	—
Receivables	2 910	1 873	2 073	1 593	—	—	—
Cash & equiv.	2 067	632	892	715	—	—	—
Current assets	7 232	4 454	5 035	4 194	—	—	—
Total assets	22 207	18 473	19 096	17 532	—	—	—
EQUITY & LIABILITIES							
Equity	12 878	11 531	11 540	10 334	—	—	—
Long-term debt	3 893	2 444	2 945	3 638	—	—	—
Short-term debt	474	200	37	156	—	—	—
Current liabilities	3 453	2 441	2 395	2 237	—	—	—
CAPITAL STRUCTURE & RATIOS							
Net debt	2 967	2 718	2 922	3 079	2 662	2 773	2 577
Capital invested	15 178	13 543	13 630	13 413	—	—	—
Equity ratio	58.0%	62.4%	60.4%	58.9%	—	—	—
Gearing	23.0%	23.6%	25.3%	29.8%	—	—	—
Net debt / EBITDA	1.22×	2.36×	1.72×	3.00×	1.25×	1.43×	1.29×
Current ratio	2.09	1.82	2.10	1.87	—	—	—
Forward years not modelled for full balance sheet; only Net debt and Net debt / EBITDA forecasts shown.							

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FINANCIAL STATEMENTS APPENDIX

Cash flow statement — annual 2022A–2028E

METRIC	2022	2023	2024	2025	2026E	2027E	2028E
OPERATIONS							
Funds from operations	1 176	1 547	1 353	1 473	—	—	—
Operating cash flow	1 220	1 516	1 596	1 420	—	—	—
Working capital growth	839	-605	204	-387	—	—	—
INVESTING & FREE CASH							
Gross capex	2 996	-30	715	-16	—	—	—
Free cash flow	-1 966	2 218	241	1 356	1 309	687	1 045
FINANCING							
CFF from financing	2 406	-2 755	-630	-1 798	—	—	—
Dividends paid	-693	-693	-800	-800	—	—	—
Net change in cash	586	-1 178	8	-309	—	—	—
Forward free cash flow is modelled; other lines are reported actuals.							

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FINANCIAL STATEMENTS APPENDIX

Quarterly snapshot — FY2025

METRIC	Q1 25	Q2 25	Q3 25	Q4 25
Net sales	2 646	2 400	2 298	2 312
EBITDA	350	248	251	177
EBITDA margin	13.2%	10.3%	10.9%	7.7%
EBIT	198	107	125	2
EBIT margin	7.5%	4.5%	5.4%	0.1%
Net earnings	143	71	18	258
EPS	0.27	0.13	0.03	0.49
Net sales growth	0.2%	-5.7%	-8.8%	-12.2%
EBIT growth	-42.3%	-46.2%	-59.0%	-101.9%
Q4 25 includes exceptional financial income of 360 EUR m and exceptionally weak operating contribution.				

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SOURCES, ASSUMPTIONS AND DISCLAIMER

Provenance of figures and important caveats

SOURCES & ASSUMPTIONS REGISTER			
DATA POINT	VALUE	SOURCE CATEGORY	USED IN
Current price	25.18 EUR	MARKET DATA	Cover, snapshot, valuation
Shares outstanding	528 m (implied)	MODEL OUTPUT	Mcap, EV, per-share metrics
Market capitalisation	Computed	MODEL OUTPUT	All valuation sections
Enterprise value	Mcap + Net debt	MODEL OUTPUT	Multiples, reverse valuation
Net sales 2021–2025	Reported	FINANCIAL SNAPSHOT	Bridge, appendix
EBITDA / EBIT history	Reported	FINANCIAL SNAPSHOT	Bridge, multiples, sensitivity
EPS / DPS	Reported	FINANCIAL SNAPSHOT	Snapshot, decision card
Forward estimates 2026E–2028E	Modelled	ANALYST-GENERATED ESTIMATE	Multiples, scenarios
Consensus 2026E–2027E	External	CONSENSUS ESTIMATES	Sanity-check on base case
Segment splits	Modelled	COMPANY VALUE MAP	Value breakdown
Target price	30.50 EUR	MODEL OUTPUT	Cover, snapshot, recommendation
Scenario assumptions	Bear/Base/Bull	ANALYST-GENERATED ESTIMATE	Scenario valuation

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